4 September 2026

Dear Editor,

We submit "Investment concentration and financing in the AI boom" for consideration at *Economics Letters*.

The paper's contribution is an aggregation result. Financing conditions observed at the project margin need not characterise an investment-weighted aggregate when investment is concentrated, because such an aggregate places greatest weight on its largest incremental investors. Among the 500 largest U.S. public companies, incremental operating cash flow covers 117% of the 2022–2025 investment increase at the five largest investors and 102% at the top ten—which account for 52.8% of the increase—but −61% across the remaining 213 firms.

What we believe is new is that concentration and internal financing are separate phenomena. The 2018–2021 window was more concentrated at the top than the current one (41.9% of its increase at the five largest investors, against 38.9%) and yet has the tail as its best-covered group, as does 2014–2017. Concentrated investment booms are not internally financed booms as a rule; what is unusual about the present one is that the two coincide. Nor is the pattern sectoral composition: classifying every registrant by the SIC code in its own filing and dropping regulated, extractive and financial firms leaves the gradient intact and steeper.

All estimates are built from public sources—the SEC's XBRL *frames* interface, SEC EDGAR filings, and BLS series WPUFD41312—and the full replication archive accompanies the submission.

Thank you for considering the paper.

Sincerely,

Samir Chincholikar · Robin Chawla

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